Opinion

Labor's housing 'help' risks backfiring on homeowners

Government nationalisation of the first buyer LMI market could reduce competition and put upward pressure on premiums for property investors and first buyers not eligible for the scheme.

John Kehoe *Economics editor*

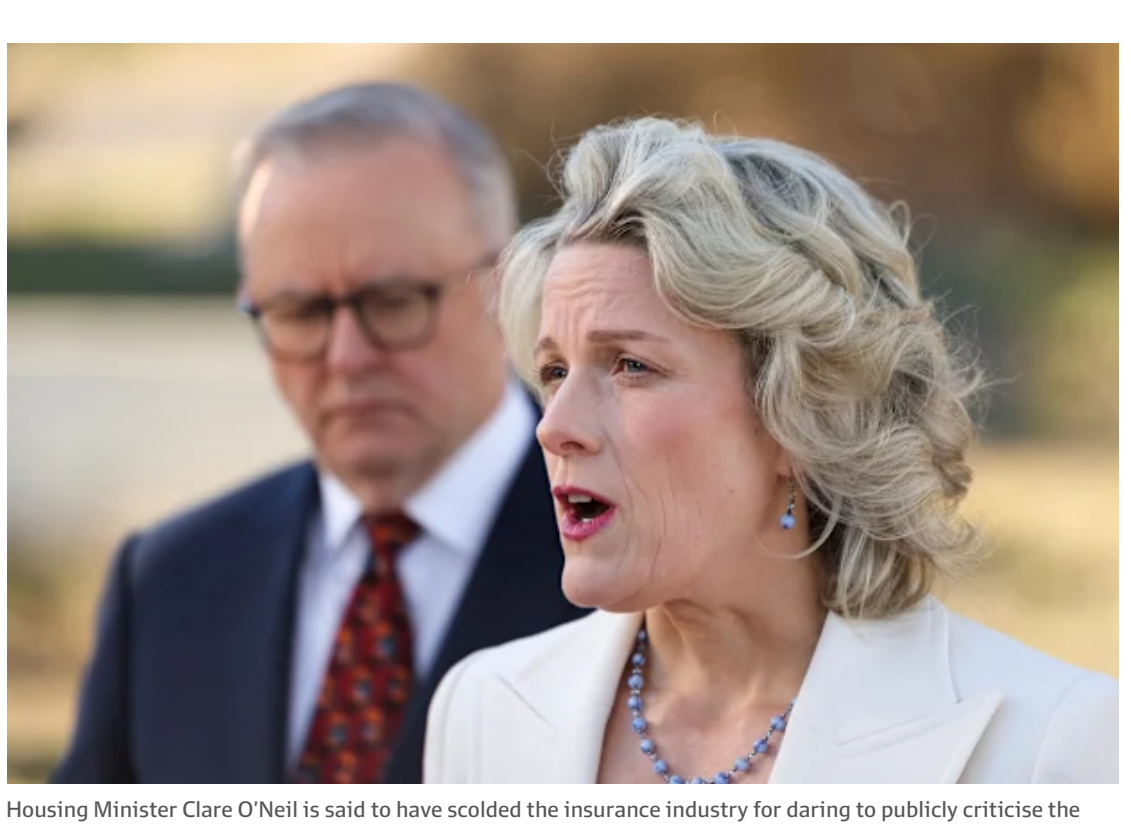
Aug 27, 2025 – 3.13pm

Save | Share | Gift this article

Listen to this article
10 min

Labor began its second term talking about rebalancing economic growth away from being government-driven to more private sector activity.

On Monday, Prime Minister Anthony Albanese accelerated a plan for a government takeover of 30 per cent of the lenders mortgage insurance (LMI) market to purportedly help first home buyers.



Housing Minister Clare O'Neil is said to have scolded the insurance industry for daring to publicly criticise the policy. **Alex Ellinghausen**

The partial nationalisation of LMI is a negative signal to broader private investors considering deploying capital in Australia – the same investors Labor is trying to woo to lift business investment and stagnant productivity.

Labor must be judged on its big government actions, not its mild-mannered centrist rhetoric. It is doling out debt-funded taxpayer subsidies for home buyers, childcare, visits to the doctor, green industry and university students.

But there is little care for taxpayers or future generations picking up the bill.

LMI protects banks and other lenders in the event of a mortgage default and is typically required for borrowers with less than a 20 per cent deposit.

The Home Guarantee Scheme has increased from an initial 10,000 first buyers under the Morrison government in 2020-21, to 50,000 spots under Labor in 2024-25 and will soon be available to an unlimited number of first home buyers, probably subsidising about 70,000 people a year.

It reverses the privatisation of the government's Housing Loan Insurance Corporation in 1997.

The expanded guarantee will be available from October 1 for all first home purchases worth up to $1.5 million in Sydney, $1 million in Brisbane and Canberra, $950,000 in Melbourne, $850,000 in Perth, $900,000 in Adelaide, and $700,000 in Hobart.

The previous income limits of $125,000 for singles and $200,000 for couples will be abolished.

The expansion will put upward pressure on house prices, increase the already high levels of household debt, raise the cost of private LMI for property investors and first buyers not eligible for free government insurance, expose taxpayers to risks, and possibly reduce competition in the LMI market.

The policy was invented during the election campaign, based on Labor's desire to be "seen to be doing something" about the plight of first home buyers.

It must be said that the expansion of the first deposit guarantee is not as reckless as the Coalition's plan to enable mortgage interest deductibility for first buyers.

'Scare campaign', says Clare O'Neil

Housing Minister Clare O'Neil says mortgage insurers are running a "scare campaign". In private meetings, the insurance industry felt she scolded them for daring to publicly criticise the policy, according to people with knowledge of the conversations. She told them Labor had an election mandate.

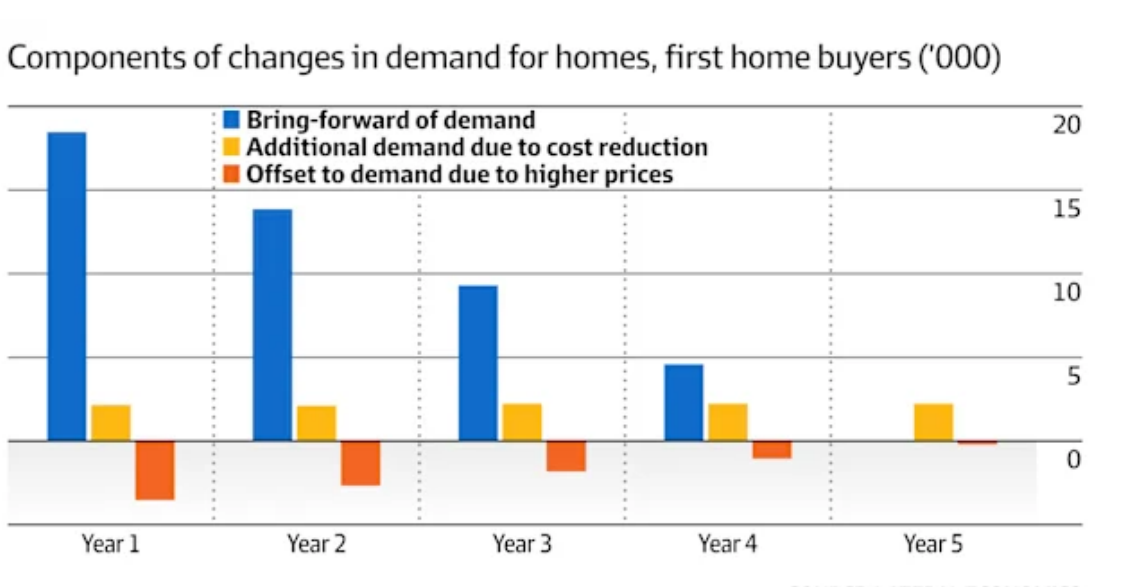
Some critics can't be so easily dismissed by her.

Lateral Economics' Nicholas Gruen has written a 60-page report for the Insurance Council, exposing problems and making six policy recommendations. This includes charging borrowers an insurance premium, like the New Zealand government does at 1.2 per cent of the loan value to underwrite the scheme.

Gruen was an adviser to former Labor industry minister John Button in the 1980s. He also happens to be the brother-in-law of Treasury Secretary Jenny Wilkinson. His daughter has worked for Treasurer Jim Chalmers.

He's hardly an anti-Labor crusader.

Components of changes in demand for homes, first home buyers ('000)



SOURCE: LATERAL ECONOMICS

"If the government goes free insurer, it's pretty obvious that's not good policy," Gruen says.

His report estimates that the scheme will initially bring forward annual home buyer demand by 20,600 to 39,100 people, 90 per cent of whom would have been able to afford a home in future years by buying LMI or receiving assistance from their parents.

As a result of the government-fuelled stimulus, national house prices could rise by between 3.5 per cent and 6.6 per cent in 2026, and as much as between 5.3 per cent and 9.9 per cent for market segments targeted by first buyers.

The short-term price increase is likely to be larger than the benefit the scheme saves most first buyers, Gruen estimates.

"The timing could be better, with interest rates falling, migration strong and now this policy," he says.

Over five years, the price effect will be largely neutral after the temporary bringing forward of buyers is followed by demand tapering because most people who used the scheme would have bought later anyway.

Conveniently, Treasury estimates released by the government omit the short-term price impact that Gruen calculates.

Over six years, the government says Treasury estimates that the scheme will increase home prices by just 0.5 per cent, including the supply benefits of 55,000 affordable and social homes that Labor has yet to build.

University of Queensland economist John Quiggin argues that the scheme has the perverse effect of the government being incentivised to support higher house prices – the opposite of what aspiring first buyers want.

The government will be liable for billions of dollars of insurance payouts to banks in the event of any future housing market crash that leaves defaulting borrowers in negative equity, Quiggin says.

"It gives government a strong incentive to make sure house prices don't fall," he says.

Another overlooked problem is the detrimental impact on the insurance market.

Australia has not had a serious mortgage stress test with high unemployment since the early 1990s. **Sam Mooy**

A government takeover of 30 per cent of the LMI market will leave less depth and diversity in the private insurance pool.

Over time, it could lead to a problem known in insurance economics as "adverse selection", either for the government insurer or private insurers, if their cohorts of borrowers turn out to be significantly more risky.

First home buyers are reliable loan repayers and had low housing arrear rates between 2019 and 2024, according to the Reserve Bank of Australia.

Borrowers with high debt relative to the value of their property, with a loan-to-value ratio of greater than 80 per cent, had arrears rates about three times higher.

But Australia has not had a serious mortgage stress test with high unemployment since the early 1990s, so the underlying resilience of borrowers is not accurately known.

The private LMI market is shrinking. It has more than halved from a peak of $1.3 billion in gross written premiums in 2020-21 to $533 million in 2023-24.

This is due to the Morrison government's introduction of the taxpayer-backed scheme and its subsequent expansion by Labor, as well as other factors, such as big banks self-insuring more borrowers.

The decline in revenue has put financial pressure on LMI providers Helia (formerly Genworth Financial), QBE Insurance and Arch. Helia, which accounts for about half of the private LMI market, charges an average premium of about $9000 per borrower.

There is talk in the industry about potential mergers or one of the players dropping out.

The government nationalisation of the first buyer LMI market could reduce competition and push premiums higher for property investors and first buyers not eligible for the scheme.

It could lead to the farcical situation of the government crowding out the LMI market, and then the Australian Competition and Consumer Commission and Treasurer Jim Chalmers potentially blocking the merger of LMI players that cannot financially survive.

LMI providers have high fixed costs of about 45 per cent of their total operating costs, Gruen's report estimates.

With private LMI activity forecast to decline by 30 per cent, premiums will need to rise 19 per cent for the providers to maintain current profitability.

"Any premium increase will affect non-FHBs [first home buyers] and FHBs who do not meet the eligibility requirements...where they buy a property with a value exceeding the property price cap," Gruen's report says.

Helia chief executive Michael Cant says LMI providers will need scale in a smaller market.

"A smaller market makes it harder for everyone to have the critical mass to continue what we're doing, so LMI providers will need to be leaner and fitter going forward," he says.

Txpayers taking on undisclosed risks

Another flaw is that taxpayers are taking on undisclosed risks, according to Alex Sanchez, a former economic adviser to Albanese and a former policy manager at the Insurance Council.

"The government is taking so much risk on its balance sheet with housing," Sanchez says, also pointing to other policies such as the $10 billion Housing Australia Future Fund.

Treasury has not disclosed the contingent liability of the deposit guarantee, which Gruen estimates could reach $62 billion by 2030.

In the event of a large recession accompanied by a property market crash, where 5 per cent of first buyers default and the government has to cover 15 per cent of the property values relating to mortgages in default, the government will be liable for $3 billion in payouts, Gruen estimates.

Such taxpayer bailouts will almost certainly occur at the same time that the government is spending tens of billions of dollars on supporting other parts of the economy, potentially including banks.

Treasury views the risks as low.

Borrowers will still have to undergo credit tests from banks, meaning not all borrowers with a deposit as low as 5 per cent will automatically receive a loan, despite the impression the government gives.

Only a few borrowers have defaulted under the existing scheme.

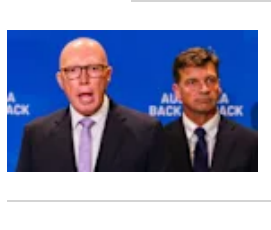
But this has occurred during low unemployment, and national house prices have risen 45 per cent over five years, according to property data firm Cotality. There have been very few buyers defaulting in negative equity.

LMI providers paid out claims of only $296 million between 2019 and 2024.

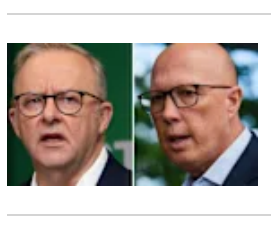
However, the payouts were fourfold higher, at $1.2 billion, between 2014 and 2019, when interest rates were higher and unemployment worse, according to industry figures.

Payouts have been $2.8 billion over the past 15 years. Taxpayers beware.

RELATED



Property market
Housing tax break 'would blow Coalition's budget'



Opinion Federal election
Election cons will fuel higher house prices and debt

Go inside the big political stories, policies and power plays.
Sign up for the The Week in Politics newsletter.
SIGN UP NOW

John Kehoe is economics editor at Parliament House, Canberra. He writes on economics, politics and business. John was Washington correspondent covering Donald Trump's first election. He joined the Financial Review in 2008 from Treasury. *Connect with John on Twitter. Email John at jkehoe@afr.com*

Save | Share | Gift this article | License article

READ MORE
First-home buyers +
Clare O'Neil +
Property market +
Opinion +
Anthony Albanese +
Jim Chalmers +
Australian economy +

READ MORE
Street Talk
Andy Gray, Potentia's employee repeller extraordinaire, strikes again
2 hrs ago
Gas
Liberals finalising gas policy in preparation for new energy war
18 hrs ago
Street Talk
Golden handcuffs, anyone? Potentia's surprise cure for grumpy staff
Opinion Federal Election
Election cons will fuel higher house prices and debt

Reports
Higher Education Awards
The Financial Review Higher Education Awards recognise and celebrate excellence in the Australian higher education sector.
View all 13 stories →

SPONSORED

LATEST IN ECONOMY

Opinion Economics explained
How I learnt to relax about corporate debt
Aug 28, 2025 | Richard Holden

Inflation
Inflation jumps on higher electricity prices
Updated Aug 27, 2025 | John Kehoe

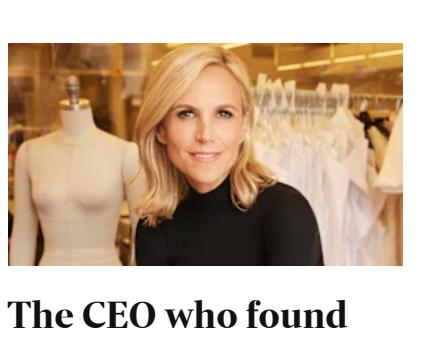
Small business
The businesses hit by Australia Post's US suspension
Aug 27, 2025 | Emma McGrath-Cohen

Business confidence
CSL veteran says Victoria's WFH culture led to lab failures
Aug 26, 2025 | Michael Smith and Carrie LaFrenz

Opinion The AFR View
WFH a symptom of Victoria's post-pandemic trauma
Aug 26, 2025 | The AFR View

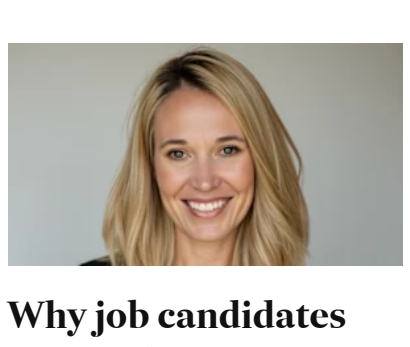
MOST VIEWED IN POLICY
1 US allies bow to defence demands, boasts Hegseth after meeting Marles
2 NSW government asks UTS to call off suspending teacher training
3 Inflation jumps on higher electricity prices
4 The businesses hit by Australia Post's US suspension
5 CSL veteran says Victoria's WFH culture led to lab failures

The Australian Financial Review Magazine



The CEO who found her mojo when she demoted herself
Lauren Sams
Job by day, jazz by night: how to work a career with a passion
It was the brand of the '90s – can it make a comeback in 2025?

BOSS



Why job candidates are sending AI agents to online interviews
Hannah Tattersall
The AI era is HR's time to shine. But they're not invited
The humiliating career mistake that changed this CEO's life

Life & Leisure

The best restaurants to book for a Father's Day feast
Maxim Boon
Why Berlin's underground art scene is the best in the world
Why now is a good time to buy a watch

RICH LIST

Melbourne Cup winner Lloyd Williams sells penthouse for $18m
Sarah Petty
'Like Black Mirror': Live-streamed death spells trouble for Ed Craven
Ed Craven's Kick under fire for live-streaming man's death

FINANCIAL REVIEW The Daily Habit of Successful People

ABOUT US
Products & services
Editorial team
Charter of Editorial Independence
AI Editorial Guidelines
History
Work with us
Announcements
Corrections
Platinum Year

CONTACT
Support
Letters to the editor
Freelance Contributions
Submit a story
Advertise
Delivery Status

MAGAZINES
AFR Magazine
Fin! Magazine
BOSS
Life & Leisure

COLUMNS
Chanticleer
Street Talk
Rear Window
The AFR View

PODCASTS
15 Minutes with the Boss
Chanticleer
Tech Zero
The Fin
The Sure Thing
How I Made It

MARKETS DATA
Australian Indices
World Indices
Commodities
Bonds & Currencies
Companies index

LISTS
Rich List
Power List
Young Rich
More Lists

EVENTS
Business Summit
Property Summit
AI Summit
Banking Summit
Energy & Climate Summit
Infrastructure Summit
Super & Wealth Summit
ESG Summit
Higher Education Summit
More Events

MY ACCOUNT
Newsfeed
Recently read
Saved articles
Alerts
Newsletters
Subscriber benefits
My account
Log out

SUBSCRIBE
Subscribe
Corporate subscriptions
Student subscriptions

The Sydney Morning Herald | The Age | Brisbane Times | WAtoday | Domain | Drive

Site Map | Accessibility | Subscription terms | Privacy policy | Terms of use | Reprints & permissions

© Copyright 2025 The Australian Financial Review, Nine Entertainment Co. Pty Ltd

Download on the App Store | GET IT ON Google Play